The Principal®
Expertise. Simplicity. Solutions.

Investment Review

PARTNERS OF THE AMERICAS, INC.

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Before investing in mutual funds, investors should carefully consider the investment objectives, risks, charges, and expenses of the funds. This, and other information is contained in the free prospectus, which can be obtained from your local representative. Please read the prospectus carefully before investing.

The value of the investment options will fluctuate so that when redeemed, shares or units may be worth more or less than the original cost. Past performance is no guarantee of future results.

While this communication may be used to promote or market a transaction or an idea that is discussed in the publication, it is intended to provide general information about the subject matter covered and is provided with the understanding that The Principal is not rendering legal, accounting, or tax advice. It is not a marketed opinion and may not be used to avoid penalties under the Internal Revenue Code. You should consult with appropriate counsel or other advisors on all matters pertaining to legal, tax, or accounting obligations and requirements.

Investment Review

Contents

Investment Performance Results and Statistics

- Portfolio Review
- Standard Performance
- Style Grid

Portfolio Review

Investment Review - Allocation 01/01/2011 through 03/31/2011							
Investment Advisor	Investment Option	Beginning Balance	Breakdown %	Contributions/ Additions	Breakdown %	Ending Balance	Breakdown %
	Large U.S. Equity						
	Large Value						
AllianceBernstein / Westwood	LargeCap Value III R2 Fund [A, 13, 20, 25]	$88,902	7.63%	$0	0.00%	$94,417	8.33%
American Century Inv. Mgmt.	American Century Equity Income A Fund [9]	$199,260	17.10%	$2,183	7.51%	$97,704	8.62%
	Large Blend						
Neuberger Berman Mgmt. Inc.	Neuberger Berman Socially Responsive Tr Fund [9]	$0	0.00%	$30	0.10%	$31	0.00%
	Large Growth						
Capital Research and Mgmt Co	American Funds Growth Fund of America R3 Fund [9]	$127,355	10.93%	$988	3.40%	$135,027	11.92%
T. Rowe Price/Brown Advisory	LargeCap Growth I R2 Fund [A, 22, 25, 27]	$0	0.00%	$30	0.10%	$31	0.00%
	Small/Mid U.S. Equity						
	Mid Cap Growth						
Fidelity Management & Research	Fidelity Advisor Mid Cap T Fund [1, 9]	$52,895	4.54%	$554	1.90%	$55,286	4.88%
	Small Value						
DFA/Vaughan Nelson/LA Capital	SmallCap Value II R2 Fund [A, 1, 23, 25]	$20,065	1.72%	$0	0.00%	$21,655	1.91%
	Small Growth						
Emerald / Essex	SmallCap Growth II R2 Fund [A, 1, 25, 26]	$22,480	1.93%	$539	1.85%	$25,505	2.25%
	Real Estate						
Principal Real Estate Inv	Real Estate Securities R2 Fund [A, 4]	$29,051	2.49%	$277	0.95%	$31,347	2.77%
	International Equity						
	Diversified Emerging Markets						
Principal Global Investors	International Emerging Markets R2 Fund [A, 3, 19]	$19,046	1.63%	$831	2.86%	$20,232	1.79%
	Foreign Large Blend						
Capital Research and Mgmt Co	American Funds EuroPacific Growth R3 Fund [3, 9]	$1,396	0.12%	$524	1.80%	$1,984	0.18%
Principal Global Investors	Diversified International R2 Fund [A, 3]	$5,107	0.44%	$0	0.00%	$5,274	0.47%
Putnam Investment Mgmt Co.	Putnam International Equity A Fund [3]	$74,891	6.43%	$0	0.00%	$76,716	6.77%
	World Stock						
Capital Research and Mgmt Co	American Funds New Perspective R3 Fund [3, 9]	$1,413	0.12%	$509	1.75%	$1,995	0.18%
	Balanced/Asset Allocation						
	Retirement Income						
Multiple Sub-Advisors	Principal LifeTime Strategic Income R2 Fund [A, 14, 18, 28, 29, 30]	$329,695	28.30%	$14,729	50.65%	$360,230	31.79%

Portfolio Review

Investment Review - Allocation 01/01/2011 through 03/31/2011							
Investment Advisor	Investment Option	Beginning Balance	Breakdown %	Contributions/ Additions	Breakdown %	Ending Balance	Breakdown %
	Target Date 2026-2030						
Multiple Sub-Advisors	Principal LifeTime 2030 R2 Fund [A, 14, 18, 28, 29, 30]	$30,419	2.61%	$2,427	8.35%	$34,743	3.07%
	Target Date 2036-2040						
Multiple Sub-Advisors	Principal LifeTime 2040 R2 Fund [A, 14, 18, 28, 29, 30]	$44,036	3.78%	$4,963	17.07%	$51,758	4.57%
	Short-Term Fixed Income						
	GIC						
	Fixed Income Option non 401(a) [12, 17#]	$90,672	7.78%	$0	0.00%	$90,017	7.94%
	Fixed Income						
	Intermediate-Term Bond						
Russell Investment Group	Russell Investment Grade Bond E Fund [9, 16, 18]	$28,391	2.44%	$494	1.70%	$29,100	2.57%
TOTAL		$1,165,074	100%	$29,078	100%	$1,133,052	100%

Contributions/Additions reflect contributions, negative contributions, loan payments, etc. Withdrawal/Deductions reflect distribution requests such as terminations, death, disability, and loans. Participant and Employer level investment transfers are not included in these columns.

Please see important disclosures at the end of this presentation.

Investment Performance

Investment results shown represent historical performance and do not guarantee future results. Investment returns and principal values fluctuate with changes in interest rates and other market conditions so the value, when redeemed may be worth more or less than original costs. Current performance may be lower or higher than the performance data shown.

The gross total investment expense figure does not reflect any waivers or caps on the mutual fund or underlying mutual fund in which a Separate Account invests. Returns displayed are always based on net total investment expense.

For more performance information, including most recent month-end performance, visit www.principal.com, contact your representative of the Principal Financial Group® (The Principal®), or call our Client Contact Center at 1-800-547-7754.

		Average Annual Total Returns through 03/31/2011							Percentile Rankings as of 03/31/2011					
Investment Advisor	Investment Option	YTD	1 yr.	3 yr.	5 yr.	10 yr.	Since Inception	Inception Date	YTD	1 yr.	3 yr.	5 yr.	10 yr.	Total Inv. Expense Gross
	Large U.S. Equity													
	Large Value													
AllianceBernstein / Westwood	LargeCap Value III R2 Fund [A, 13, 20, 25]	6.21	11.85	-2.71	-1.89	2.65	2.90	12/06/2000	-	78	93	96	84	1.53
American Century Inv. Mgmt.	American Century Equity Income A Fund [9]	3.37	12.95	3.48	3.90	6.75	8.59	03/07/1997	-	64	15	13	7	1.22
	Russell 1000 Value Index	6.46	15.15	0.60	1.38	4.53	-		-	-	-	-	-	
	Morningstar Category Average - Large Value	6.04	14.16	1.29	1.65	4.13	Total Funds in Category		1312	1239	1120	945	522	-
	Large Blend													
Neuberger Berman Mgmt. Inc.	Neuberger Berman Socially Responsive Tr Fund 9	6.93	22.39	4.56	4.41	6.47	6.81	03/03/1997	-	3	12	11	5	1.13
Principal Global Investors	LargeCap S&P 500 Index R2 Fund [A, 2, 5]	5.66	14.54	1.41	1.69	2.31	0.77	12/06/2000	-	52	64	63	76	0.91
	Standard & Poor's 500 Index	5.92	15.65	2.35	2.62	3.29	-		-	-	-	-	-	
	Morningstar Category Average - Large Blend	5.61	14.52	1.98	2.13	3.28	Total Funds in Category		2095	1983	1757	1471	816	-
	Large Growth													
Capital Research and Mgmt Co	American Funds Growth Fund of America R3 Fund [9]	5.24	13.15	1.42	2.41	4.58	5.80	05/21/2002	-	80	75	62	18	0.97
T. Rowe Price/Brown Advisory	LargeCap Growth I R2 Fund [A, 22, 25, 27]	5.90	20.08	8.22	4.62	3.04	0.37	12/06/2000	-	21	8	21	44	1.38
	Russell 1000 Growth Index	6.03	18.26	5.19	4.34	2.99	-		-	-	-	-	-	
	Morningstar Category Average - Large Growth	5.55	16.77	3.57	3.08	2.91	Total Funds in Category		1772	1701	1505	1312	818	-
	Small/Mid U.S. Equity													
	Mid Cap Growth													
Fidelity Management & Research	Fidelity Advisor Mid Cap T Fund [1, 9]	3.46	16.48	1.19	0.03	4.59	10.12	02/20/1996	-	92	89	91	70	1.03
	Russell Midcap Growth Index	7.85	26.60	7.63	4.93	6.94	-		-	-	-	-	-	
	Morningstar Category Average - Mid Cap Growth	7.80	25.86	6.68	4.31	5.90	Total Funds in Category		799	766	682	603	401	-

Investment Performance

		Average Annual Total Returns through 03/31/2011							Percentile Rankings as of 03/31/2011					
Investment Advisor	Investment Option	YTD	1 yr.	3 yr.	5 yr.	10 yr.	Since Inception	Inception Date	YTD	1 yr.	3 yr.	5 yr.	10 yr.	Total Inv. Expense Gross
	Small Value													
DFA/Vaughan Nelson/LA Capital	SmallCap Value II R2 Fund [A, 1, 23, 25]	7.94	23.34	6.76	1.29	-	6.26	06/01/2004	-	44	70	76	-	1.94
	Russell 2000 Value Index	6.60	20.63	6.76	2.23	9.01	-		-	-	-	-	-	
	Morningstar Category Average - Small Value	6.90	22.59	8.70	3.32	9.92	Total Funds in Category		372	349	309	254	139	-
	Small Growth													
Emerald / Essex	SmallCap Growth II R2 Fund [A, 1, 25, 26]	10.90	34.29	6.87	1.12	4.65	0.41	12/06/2000	-	22	69	83	83	1.78
	Russell 2000 Growth Index	9.24	31.04	10.16	4.34	6.44	-		-	-	-	-	-	
	Morningstar Category Average - Small Growth	9.22	29.11	8.77	3.56	6.68	Total Funds in Category		804	768	687	566	349	-
	Real Estate													
Principal Real Estate Inv	Real Estate Securities R2 Fund [A, 4]	6.42	21.03	3.50	1.46	12.13	11.65	12/06/2000	-	75	20	37	19	1.58
	MSCI US REIT Index	6.49	24.28	2.24	1.39	11.33	-		-	-	-	-	-	
	Morningstar Category Average - Real Estate	6.07	23.22	1.49	0.49	10.42	Total Funds in Category		290	268	244	211	114	-
	International Equity													
	Diversified Emerging Markets													
Principal Global Investors	International Emerging Markets R2 Fund [A, 3, 19]	1.70	18.12	1.11	8.60	15.95	14.40	12/06/2000	-	35	67	50	47	2.01
	MSCI - Emerging Markets NDTR D Index	2.05	18.46	4.32	10.70	16.79	-		-	-	-	-	-	
	Morningstar Category Average - Diversified Emerging Markets	0.44	16.57	2.16	8.61	15.76	Total Funds in Category		459	388	283	211	137	-
	Foreign Large Blend													
Capital Research and Mgmt Co	American Funds EuroPacific Growth R3 Fund [3, 9]	3.40	12.03	0.28	4.44	7.68	8.92	05/21/2002	-	51	14	9	12	1.15
Principal Global Investors	Diversified International R2 Fund [A, 3]	2.58	14.15	-4.57	0.28	5.25	3.53	12/06/2000	-	23	74	70	42	1.66
Putnam Investment Mgmt Co.	Putnam International Equity A Fund [3]	2.45	11.23	-4.82	-0.31	3.51	7.99	02/28/1991	-	58	77	79	75	1.40
	MSCI - EAFE Index NDTR D	3.36	10.42	-3.01	1.30	5.39	-		-	-	-	-	-	
	MSCI ACWI Ex US Index	3.41	13.15	-0.85	3.59	7.41	-		-	-	-	-	-	
	Morningstar Category Average - Foreign Large Blend	2.99	12.12	-2.74	1.32	5.01	Total Funds in Category		886	846	728	538	306	-
	World Stock													
Capital Research and Mgmt Co	American Funds New Perspective R3 Fund [3, 9]	4.05	14.28	2.35	5.34	6.87	8.22	06/04/2002	-	49	32	13	28	1.12
	MSCI World NDTR D Index	4.80	13.45	-0.25	2.08	4.21	-		-	-	-	-	-	
	Morningstar Category Average - World Stock	4.18	14.73	0.78	2.68	5.25	Total Funds in Category		993	895	660	502	279	-

Investment Performance

		Average Annual Total Returns through 03/31/2011							Percentile Rankings as of 03/31/2011					
Investment Advisor	Investment Option	YTD	1 yr.	3 yr.	5 yr.	10 yr.	Since Inception	Inception Date	YTD	1 yr.	3 yr.	5 yr.	10 yr.	Total Inv. Expense Gross
	Balanced/Asset Allocation													
	Retirement Income													
Multiple Sub-Advisors	Principal LifeTime Strategic Income R2 Fund [A, 14, 18, 28, 29, 30]	2.46	9.53	2.26	1.88	3.95	3.73	03/01/2001	-	33	85	91	56	1.38
	Principal LifeTime Strategic Income Blended Index	1.66	7.95	4.90	5.45	5.27	-		-	-	-	-	-	
	Morningstar Category Average - Retirement Income	2.12	8.75	3.89	3.92	3.85	Total Funds in Category		172	164	118	75	17	-
	Target Date 2000-2010													
Multiple Sub-Advisors	Principal LifeTime 2010 R2 Fund [A, 14, 18, 28, 29, 30]	3.69	12.50	2.42	2.15	4.40	4.10	03/01/2001	-	9	71	98	36	1.46
	Principal LifeTime 2010 Blended Index	3.10	11.00	3.70	4.08	4.75	-		-	-	-	-	-	
	Morningstar Category Average - Target Date 2000-2010	2.79	10.44	3.09	3.69	4.15	Total Funds in Category		177	172	151	83	15	-
	Target Date 2016-2020													
Multiple Sub-Advisors	Principal LifeTime 2020 R2 Fund [A, 14, 18, 28, 29, 30]	4.32	13.77	2.25	2.31	4.87	4.48	03/01/2001	-	15	68	70	24	1.50
	Principal LifeTime 2020 Blended Index	3.88	12.54	3.18	3.65	4.74	-		-	-	-	-	-	
	Morningstar Category Average - Target Date 2016-2020	3.44	12.23	2.67	2.89	3.85	Total Funds in Category		211	204	165	85	18	-
	Target Date 2026-2030													
Multiple Sub-Advisors	Principal LifeTime 2030 R2 Fund [A, 14, 18, 28, 29, 30]	4.77	14.71	1.96	2.20	4.75	4.30	03/01/2001	-	37	62	57	34	1.52
	Principal LifeTime 2030 Blended Index	4.38	13.48	2.74	3.24	4.57	-		-	-	-	-	-	
	Morningstar Category Average - Target Date 2026-2030	4.05	13.75	2.24	2.35	4.27	Total Funds in Category		208	201	162	85	13	-
	Target Date 2036-2040													
Multiple Sub-Advisors	Principal LifeTime 2040 R2 Fund [A, 14, 18, 28, 29, 30]	4.96	15.23	1.52	1.95	4.81	4.27	03/01/2001	-	43	66	55	34	1.53
	Principal LifeTime 2040 Blended Index	4.74	14.14	2.38	2.95	4.47	-		-	-	-	-	-	
	Morningstar Category Average - Target Date 2036-2040	4.44	14.82	2.09	2.10	4.31	Total Funds in Category		202	195	153	79	13	-

Investment Performance

		Average Annual Total Returns through 03/31/2011							Percentile Rankings as of 03/31/2011					
Investment Advisor	Investment Option	YTD	1 yr.	3 yr.	5 yr.	10 yr.	Since Inception	Inception Date	YTD	1 yr.	3 yr.	5 yr.	10 yr.	Total Inv. Expense Gross
	Target Date 2050+													
Multiple Sub-Advisors	Principal LifeTime 2050 R2 Fund [A, 14, 18, 28, 29, 30]	5.16	15.61	1.34	1.82	4.42	3.81	03/01/2001	-	40	71	44	100	1.55
	Principal LifeTime 2050 Blended Index	5.00	14.60	2.24	2.88	4.44	-		-	-	-	-	-	
	Morningstar Category Average - Target Date 2050+	4.62	14.97	2.07	1.55	4.79	Total Funds in Category		235	194	119	17	5	-
	Fixed Income													
	Intermediate-Term Bond													
Principal Global Investors	Bond & Mortgage Securities R2 Fund [A, 16, 18]	1.60	8.24	5.46	4.00	3.98	4.29	12/06/2000	-	13	57	85	88	1.28
Russell Investment Group	Russell Investment Grade Bond E Fund [9, 16, 18]	0.76	6.17	6.57	6.14	5.39	5.67	05/14/1999	-	45	31	34	38	0.80
	Barclays Capital Aggregate Bond Index	0.42	5.12	5.30	6.03	5.56	-		-	-	-	-	-	
	Morningstar Category Average - Intermediate-Term Bond	0.98	6.16	5.63	5.50	5.15	Total Funds in Category		1244	1155	1021	873	563	-

Please see important disclosures at the end of this presentation.

Style Grid

Large U.S. Equity		
Large Value	**Large Blend**	**Large Growth**
LargeCap Value III R2 Fund [13, 20, 25] American Century Equity Income A Fund [9]	Neuberger Berman Socially Responsive Tr Fund [9] LargeCap S&P 500 Index R2 Fund [2, 5] ++	American Funds Growth Fund of America R3 Fund [9] LargeCap Growth I R2 Fund [22, 25, 27]
Small/Mid U.S. Equity		
Mid Cap Value	**Mid Cap Blend**	**Mid Cap Growth**
		Fidelity Advisor Mid Cap T Fund [1, 9]
Small Value	**Small Blend**	**Small Growth**
SmallCap Value II R2 Fund [1, 23, 25]		SmallCap Growth II R2 Fund [1, 25, 26]
Specialty-Real Estate		
Real Estate Securities R2 Fund [4]		

Style Grid

International Equity	Balanced/Asset Allocation	Short-Term Fixed Income
American Funds EuroPacific Growth R3 Fund [3, 9] American Funds New Perspective R3 Fund [3, 9] American Funds℠ Diversified International R2 Fund [3] International Emerging Markets R2 Fund [3, 19] Principal Global Investors℠ Putnam International Equity A Fund [3] Putnam Investments	Principal LifeTime Strategic Income R2 Fund [14, 18, 28, 29, 30] Principal LifeTime 2010 R2 Fund [14, 18, 28, 29, 30] Principal LifeTime 2020 R2 Fund [14, 18, 28, 29, 30] Principal LifeTime 2030 R2 Fund [14, 18, 28, 29, 30] Principal LifeTime 2040 R2 Fund [14, 18, 28, 29, 30] Principal LifeTime 2050 R2 Fund [14, 18, 28, 29, 30] Multiple Sub-Advisors	Fixed Income Option non 401(a) [12, 17] #

Fixed Income
Bond & Mortgage Securities R2 Fund [16, 18] Principal Global Investors℠ Russell Investment Grade Bond E Fund [9, 16, 18] Russell Investments

You are responsible for the selection of specific investment options for your retirement plan. While the investment options above provide a starting point for you to consider, we also offer additional investment options other than those illustrated above.

Please see important disclosures at the end of this presentation.

Disclosures

[A] Sub-advised Investment Options include Principal Funds, Inc. mutual funds. Principal Funds, Inc is distributed by Principal Funds Distributor, Inc. Securities are offered through Princor Financial Services Corporation, 800-547-7754, member SIPC and/or independent broker/dealers. Securities sold by a Princor® Registered Representative are offered through Princor. Principal Funds Distributor, Princor, and Principal Life are members of the Principal Financial Group, Des Moines, IA 50392. Certain investment options may not be available in all states or U.S. commonwealths.

 # Fixed Income Option is the Group Annuity Contract - Custodial Guaranteed Fund Contract available through Principal Life Insurance Company. This is not a sub-advised investment option. Guarantees are backed by all the assets in the Principal Life general account.

++ Investment options sub-advised by Principal Global Investors.

A mutual fund's share price and investment return will vary with market conditions, and the principal value of an investment when you sell your shares may be more or less than the original cost.

Percentile rankings are based on total returns in accordance with the appropriate Morningstar peer group.

Returns shown for periods of less than one year are not annualized. All returns displayed here are after Total Investment Expense of the investment option.

Annualized total returns measure net investment income and capital gain or loss from portfolio investments as an annualized average, assuming the reinvestment of dividends, and without adjusting for loads.

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Before investing in mutual funds, investors should carefully consider the investment objectives, risks, charges and expenses of the funds. This and other information is contained in the free prospectus, which can be obtained from your local representative, by visiting www.principal.com, or by contacting us at 1-800-547-7754. Please read the prospectus carefully before investing.

This report includes investment options that contain information from a variety of sources. A primary source is Morningstar which provides holdings information, operations data, and rankings or statistics proprietary to Morningstar. Morningstar is generally the source of information on mutual funds unaffiliated with the Principal.

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Disclosures

For a Mutual Fund investment option, Total Investment Expense gross equals the sum of (a) the total fund operating expenses plus (b) if the mutual fund invests in other mutual funds, the weighted-average management fee of those other mutual funds, as listed in the most recent prospectus. The actual Total Investment Expense may change if the mutual fund investment option's allocation of assets to other mutual funds changes.

Any operating expenses of a mutual fund or underlying mutual fund that are part of net Total Investment Expense are obtained from the mutual fund's most recent prospectus. The operating expenses shown as part of Total Investment Expense include voluntary expense limits and fee credit. These expense reductions are not reflected in the fund's prospectus.

Stable Value funds are not available for Not For Profit clients.

See the Principal Funds, Inc. prospectus for the full name of each Fund.

1. Small-cap and mid-cap investment options are subject to more fluctuation in value and may have additional risks than other investment options with stocks of larger, more stable companies.

2. Each index based investment option is invested in the stocks or bonds of the index it tracks. Performance of indexes reflects the unmanaged results for the market segment the selected stocks or bonds represent. There is no assurance an index based investment option will match the performance of the index tracked.

3. International and global investment options are subject to additional risk due to fluctuating exchange rates, foreign accounting and financial policies, and other economic and political environments.

4. Real estate investment options are subject to some risks inherent in real estate and Real Estate Investment Trusts, such as risks associated with general and local economic conditions.

5. S&P 500 is a trademark of The McGraw-Hill Companies, Inc., and has been licensed for use by Principal Life Insurance Company and Principal Management Corporation. The product is not sponsored, endorsed, sold or promoted by Standard & Poor's and Standard & Poor's makes no representation regarding the advisability of investing in the product.

9. These calculated returns reflect the historical performance of the oldest share class of the fund, adjusted to reflect a portion of the fees and expenses of this share class. Please see the fund's prospectus for more information on specific expenses, and the fund's most recent shareholder report for actual date of first sale. Expenses are deducted from income earned by the fund. As a result, dividends and investment results will differ for each share class.

12. Principal Fixed Income Option is the Group Annuity Contract - Custodial Guaranteed Fund Contract available through Principal Life Insurance Company, a member of the Principal Financial Group, Des Moines, Iowa, 50392.

13. From March 1, 2006, to December 31, 2007, Bank of New York served as a sub-advisor for managing the cash portion of this investment option.

14. Equity investment options involve greater risk, including heightened volatility, than fixed-income investment options. Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise.

Disclosures

16. Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise. Neither the principal of bond investment options nor their yields are guaranteed by the U.S. government.

17. The Principal Fixed Income Option is an insurance product that provides a guaranteed crediting rate for specified periods of time. As an insurance product, this option does not have a fixed investment management fee or expense ratio; those are concepts unique to investment products. Rather, the product provides a guarantee that is backed by the General Account of Principal Life Insurance Company. The calculation of each guarantee includes some amount of expected costs and expenses. While we target a certain level of expense, there are many factors that can change our actual cost of providing the guarantee. This can include factors such as changes in the interest rate environment. While it is impossible to know the actual expense due to these factors, Principal Life Insurance Company, as a provider of administrative services to the plan, assumes that it will receive 65 basis points (from the expense built into the Principal Fixed Income Option) as part of the overall fee arrangement a plan pays for services from Principal Life. Principal Fixed Income Option is the Custodial Guaranteed Fund Group Annuity Contract available through Principal Life Insurance Company, a member of the Principal Financial Group, Des Moines, Iowa, 50392.

18. Fixed-income and asset allocation investment options that invest in mortgage securities are subject to increased risk due to real estate exposure.

19. Instances of high double-digit returns were achieved primarily during favorable market conditions and may not be sustainable over time.

20. Effective July 15, 2008, Westwood Management Corp. was added as an additional sub-advisor. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

22. This investment option maintains a voluntary waiver which is reflected in the value displayed for Total Investment Expense - Net. This waiver may be discontinued at any time.

23. Effective May 1, 2009, LA Capital was added as an additional sub-advisor. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

25. The manager of the Fund, Principal Management Corporation, invests between 10% and 40% of the Fund's assets in common stocks in an attempt to match or exceed the performance of the Fund's benchmark index for performance.

26. Effective June 26, 2009, this portfolio is sub-advised by Emerald Advisors and Essex. Prior to June 26, 2009, the portfolio was sub-advised by UBS Global Asset Management, Emerald Advisors and Essex. The portfolio has had various sub-advisors since its inception. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

27. Effective July 14, 2009, Brown Advisory was added as an additional sub-advisor. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

28. Asset allocation does not guarantee a profit or protect against a loss. Investing in real estate, small-cap, international, and high-yield investment options involves additional risks. Additionally there is no guarantee this investment option will provide adequate income at or through retirement.

Disclosures

29. The Investment Advisor will display "Multiple Sub-Advisors" for certain target-date or target-risk investment options where the assets are directed by the Investment Manager to multiple underlying investment options. These underlying investment options may use multiple sub-advisors who are responsible for the day-to-day management responsibilities.

30. This Principal LifeTime Fund indirectly bears its pro rata share of the management fees incurred by the underlying Principal Funds in which this fund invests. Based on the asset allocation of the Principal LifeTime Funds outlined in the prospectus dated March 1, 2011, the weighted average operating expenses of the underlying funds are: Principal LifeTime Strategic Income, 0.59%; Principal LifeTime 2010, 0.67%; Principal LifeTime 2015, 0.69%; Principal LifeTime 2020, 0.71%; Principal LifeTime 2025, 0.72%; Principal LifeTime 2030, 0.73%; Principal LifeTime 2035, 0.74%; Principal LifeTime 2040, 0.74%; Principal LifeTime 2045, 0.75%; Principal LifeTime 2050, 0.76%; Principal LifeTime 2055, 0.75%. While the operating expenses of the underlying mutual funds are not part of the Principal LifeTime Fund's operating expenses they are included in the Total Investment Expense. Performance results shown for the Principal LifeTime Fund reflect the application of these expenses.

Benchmark Descriptions

Barclays Capital Aggregate Bond Index represents securities that are domestic, taxable, and dollar denominated. The index covers the U. S. investment grade fixed rate bond market, with index components for government and corporate securities, mortgage pass-through securities, and asset-backed securities. These major sectors are subdivided into more specific indices that are calculated and reported on a regular basis.

MSCI - EAFE Index NDTR D is listed for foreign stock funds (EAFE refers to Europe, Australia, and Far East). Widely accepted as a benchmark for international stock performance, the EAFE Index is an aggregate of 21 individual country indexes.

MSCI - Emerging Markets NDTR D Index measures equity market performance in the global emerging markets. It consists of 26 emerging market countries in Europe, Latin America and the Pacific Basin.

MSCI ACWI Ex US Index is a free float-adjusted market capitalization index that is designed to measure the combined equity market performance of developed and emerging market countries excluding the US.

MSCI US REIT Index is a capitalization-weighted benchmark index of most actively traded Real Estate Investment Trusts (REITs), designed to measure real estate performance.

MSCI World NDTR D Index includes all 23 MSCI developed market countries. The "ND" indicates that the index is listed in U.S. dollars, with net dividends reinvested.

Principal LifeTime 2010 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2010 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 30.90% Russell 3000 Index, 10.10% MSCI EAFE Index, and 59.00% Barclays Capital Aggregate Index.

Disclosures

Principal LifeTime 2020 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2020 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 49.00% Russell 3000 Index, 19.85% MSCI EAFE Index, and 31.15% Barclays Capital Aggregate Index.

Principal LifeTime 2030 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2030 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 54.10% Russell 3000 Index, 22.75% MSCI EAFE Index, and 23.15% Barclays Capital Aggregate Index.

Principal LifeTime 2040 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2040 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 58.60% Russell 3000 Index, 25.80% MSCI EAFE Index, and 15.60% Barclays Capital Aggregate Index.

Principal LifeTime 2050 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2050 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 60.70% Russell 3000 Index, 29.50% MSCI EAFE Index, and 9.80% Barclays Capital Aggregate Index.

Principal LifeTime Strategic Income Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime Strategic Income portfolio. The weightings as of March 31, 2011 are 18.00% Russell 3000 Index, 4.40% MSCI EAFE Index, and 77.60% Barclays Capital Aggregate Index.

Russell 1000 Growth Index is a market-capitalization weighted index of those firms in the Russell 1000 with higher price-to-book ratios and higher forecasted growth values.

Russell 1000 Value Index is a market-capitalization weighted index of those firms in the Russell 1000 with lower price-to-book ratios and lower forecasted growth values.

Russell 2000 Growth Index is a market-weighted total return index that measures the performance of companies within the Russell 2000 Index having higher price-to-book ratio and higher forecasted growth values.

Russell 2000 Value Index is a market-weighted total return index that measures the performance of companies within the Russell 2000 Index having lower price-to-book ratios and lower forecasted growth values.

Russell Midcap Growth Index is a market-weighted total return index that measures the performance of companies within the Russell Midcap Index having higher price-to-book ratios and higher forecasted growth values.

Standard & Poor's 500 Index is a market capitalization-weighted index of 500 widely held stocks often used as a proxy for the stock market.

Glossary of Terms

7 Day Yield - The 7-Day Simple Yield % more closely reflects the current earnings of this money market investment option than the total return displayed.

Category Average Return - Morningstar takes the average return of the funds that exist in a category for the time period and divide by the number of funds that exist for that time period. For calendar year category average returns Morningstar includes funds that have merged, liquidated, or changed categories when calculating category averages.

Total Investment Expense Gross - The maximum expense ratio that can be applied to an investment option. This includes expenses and management fees, including 12b-1 fees, administrative fees, and all other asset-based costs incurred by the investment option, except brokerage costs.

Morningstar Category - The Morningstar Category identifies investment options based on their actual investment styles as measured by their underlying portfolio holdings (portfolio statistics and compositions over the past three years).

Percentile Rankings - Each investment's total returns are compared to other investments in the same Morningstar category for various time periods. Total returns are ranked on a scale from 1 to 100 where 1 represents the highest-returning 1% of investments and 100 represents the lowest returning investments.

Investment Advisor - May include Registered Investment Advisers as defined in the Advisers Act of 1940, Investment Advisers as defined in the Investment Company Act of 1940, as well as a company employed by the investment option's advisor to handle the investment option's day-to-day management. In these instances, the portfolio manager generally works for the fund's subadvisor, and not the advisor. See definition of Multiple Sub-Advisor appearing else where in this presentation for greater detail about Sub-Advisors.